

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

CAPITAL ESCROW & DRAW AGREEMENT

Draft control framework for conditional capital deposits, project draws, evidence, approvals and benchmark measurement

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It does not create a binding investment, lease, escrow, tax-credit, development or public-conveyance obligation unless and until definitive agreements are approved and executed by authorized parties. Programmed benchmarks and transaction-efficiency goals are design targets to be measured, not achieved results, forecasts, guarantees, or representations of savings or return.

Document code: DOC-06

1. Parties, Purpose and Status

This draft contemplates an agreement among the Project Operator (TBD), the Public Grantee or its designated project party (TBD), a regulated Escrow Agent or Depository Institution (TBD), and each Capital Provider admitted under an executed participation or funding agreement. The agreement is intended to control project capital before and during rehabilitation of 312 Spring Commons.

No party should infer that People's Public Trust currently owns the property, that the Historic Surplus conveyance has been approved, or that any capital provider is committed until applicable definitive documents are signed.

Defined party	Working role
Public Grantee — TBD	Proposed public fee-title holder and public covenant steward.
Project Operator / Rehabilitation Vehicle — TBD	Receives authorized operating/rehabilitation rights and submits approved project draw requests.
Escrow Agent / Depository — TBD	Holds funds in segregated accounts and disburses only upon contractually valid instructions.
Capital Provider(s)	Fund only pursuant to the applicable commitment, grant, loan, tax-credit or investment documents.
Independent Professionals	Architect, engineer, environmental consultant, preservation specialist, construction manager, accountant and other certifiers as required.
TitleChain / M5 stack	Evidence, authority and transaction-state record; does not itself custody or move fiat funds unless later approved under separate regulated arrangements.

2. Account Architecture

- Predevelopment Account: diligence, design, legal/tax structuring, survey/title, environmental, preservation and other approved early-stage costs.
- Construction Account: rehabilitation, building systems, life-safety, environmental remediation, approved tenant improvements and other eligible hard/soft costs.
- Reserve Account: approved contingency, insurance, debt-service/operating reserves and other restricted reserves.
- Tax-Credit / Incentive Subaccounts: only if counsel and tax-credit closing documents require segregated accounts.
- Each account is held at the Escrow Agent/Depository, with beneficial/contractual rights governed by definitive agreements. On-chain or smart-contract mirrors may record state but do not replace the regulated account or authorized bank instructions unless separately approved by counsel and the financial institution.

3. Conditions Precedent to Initial Funding

1. Applicable GSA/federal disposition pathway confirmed to the satisfaction of the required public and capital parties.
2. Public Grantee identified and legally authorized to participate, or the funding tranche is expressly limited to predevelopment before such identification.
3. NPS/Historic Surplus pathway and required preservation/use process sufficiently defined for the applicable tranche.
4. Approved project budget, sources and uses, and permitted-use schedule delivered.
5. Title, survey, easement, occupancy, federal restrictions and material property information delivered to the level required for the applicable tranche.
6. Environmental, structural, seismic, MEP, life-safety and accessibility diligence completed to the level required for the applicable tranche.
7. Required insurance, bonding, professional licenses and authorized signatories verified.

8. Capital Provider has satisfied its own KYC/AML, investment/grant approval and execution conditions.
9. TitleChain/M5 project record initialized with the asset identity, authority matrix, restriction state and governing document version hashes/references.

4. Draw Request Package

Each draw request should include, as applicable:

- draw number, requested amount, funding source and budget code;
- current approved budget, prior draws, commitments, remaining balance and forecast to complete;
- executed contract/purchase order and supporting invoice(s);
- architect/engineer/construction-manager certification of work completed where required;
- preservation/NPS/public-owner approval evidence where required;
- lien releases, insurance and bonding evidence as applicable;
- environmental or life-safety certifications for applicable work;
- authorized human approval signatures/credentials;
- TitleChain evidence receipt identifying supporting records, signer authority, policy gate results and version references;
- exception report identifying any unresolved variance, change order, legal hold or human-review requirement.

5. Approval and Release Matrix

Draw class	Minimum approval concept	Additional gate
Routine approved-budget draw	Operator authorized signatory + project controls approval	Escrow Agent verifies package completeness.
Professional / consultant payment	Operator signatory + approved contract + invoice	Engagement and deliverable evidence.
Construction draw	Operator + independent architect/engineer or construction certifier	Lien/insurance/retainage and preservation checks as applicable.
Environmental remediation	Operator + qualified environmental professional	Regulatory/clearance evidence as applicable.
Material change order	Operator + Public Grantee/owner approval where required	Budget and schedule impact; capital-provider consent above negotiated threshold.
Reserve release	Named reserve authority + capital-provider/public-owner approval as negotiated	Documented permitted purpose.
Final completion draw	Operator + public owner + required professional certifications	Substantial/final completion and closeout package.

Dollar thresholds, consent rights and signatory names are TBD and must be inserted in the definitive agreement. M5Canon may test deterministic conditions, Jev may flag anomalies or route exceptions, and LLMs may assist review, but no model output alone constitutes authorization to release funds.

6. Retainage, Change Orders and Contingency

- Retainage percentage and release conditions: TBD based on construction counsel, contractor agreements and public-owner requirements.

- Change orders above negotiated cost/scope thresholds require written human approval and updated budget/schedule evidence before draw release.
- Contingency may not be used to cure an unauthorized scope expansion without required approvals.
- Any cost savings remain project funds and are reallocated only under the governing budget and public/NPS restrictions.

7. Prohibited Disbursements

- purchase of fee-title interests by workers, community members or private investors where inconsistent with the public-title structure;
- distributions characterized as resident dividends from restricted Historic Surplus project revenue unless separately determined lawful;
- payments to undisclosed related parties or unapproved affiliates;
- distributions contrary to federal deed covenants, NPS approvals, tax-credit documents, grant restrictions or applicable law;
- automatic model- or smart-contract-initiated releases without the required financial-institution and authorized-human controls.

8. Records, Audit and TitleChain Evidence

The Escrow Agent remains the authoritative financial record for deposited and disbursed funds. TitleChain is intended to maintain a parallel evidence and provenance record containing transaction identifiers, authority evidence, document hashes/references, approval state, draw state and receipt metadata. Official public records, bank records, tax records and executed legal instruments remain authoritative within their respective domains.

Programmed Benchmark Objectives

These baseline assumptions are deliberately programmed into the project as performance goals. They are intended to be measured transaction by transaction and updated as the PPT portfolio grows. They are not historical results, guaranteed savings, or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; no assumption that legally required services disappear
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after actual comparable cost categories are verified

Metric	Working baseline	Programmed target	Measurement
Cost of money	TBD comparable project rate	Lower all-in effective cost where structure and risk reduction permit	Spread, fees, effective annualized cost, reserve burden
Third-party system/agent duplication	TBD baseline mapping	Minimize duplicated systems and repeated context transfer	Vendor count, connectors, model calls, reconciliation events

10. Stop-Draw Events and Remedies

- material misrepresentation or unauthorized use of funds;
- material unresolved title or public-authority defect;
- loss/suspension of required insurance, bonds, permits or material government approvals;
- material environmental, safety or preservation event requiring hold;
- material budget/schedule variance beyond negotiated threshold;
- breach of federal deed/NPS/public-owner restrictions;
- fraud, sanctions, KYC/AML failure or legally required funding stop;
- technology/evidence discrepancy that cannot be reconciled to authoritative source records.

Remedies and cure periods are TBD and must be negotiated in the definitive agreement. Technology alerts do not create default by themselves; contractual and legal definitions control.

11. Draft Signature Blocks

Party	Name / Title	Signature / Date
Public Grantee / designated project party	TBD	_____
Project Operator / rehabilitation vehicle	TBD	_____
Escrow Agent / Depository	TBD	_____
Capital Provider	TBD	_____

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, public-grantee structure, diligence list, occupancy and \$153M capital-maintenance reference.
- National Park Service, Historic Surplus Property Program: eligible public recipients may acquire qualifying historic surplus property at no cost; private/nonprofit operators may participate through NPS-approved long-term leases.
- IRS Rehabilitation Credit / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; lessee eligibility and lease-term requirements require tax counsel.
- CDFI Fund, New Markets Tax Credit Program: the investor credit totals 39% of the qualified equity investment over seven years through certified CDE structures; project/CDE eligibility remains to be established.
- U.S. Patent Nos. 11,720,888 and 12,518,273, "Decentralized title transfer and validation of assets": distributed-ledger methods for recording asset provenance, ownership history, and transactions. Project implementation and patent-claim applicability remain subject to counsel.
- Definitive escrow and disbursement mechanics must be conformed to the selected bank/escrow provider, financing documents, public-owner requirements and applicable California/federal law.

M5Canon v0.2 Updates

Deterministic Draw-Gate Order

- Evidence received → credential/authority validated → M5Canon deterministic conditions satisfied → required professional certification → required human/fiduciary approval → financial institution settlement → TitleChain receipt.
- Sensor/oracle feeds and AI decisions are evidence inputs only. They cannot bypass an architect, engineer, environmental professional, public official, fiduciary, capital provider or financial institution when that role is required by law or definitive documents.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.